

a portfolio, we need to be very aware that if the underlying economic and political situations suddenly change, all our positions are likely to move violently against us at the same time. Whether it is still a profitable trade or not depends on how much profit we managed to build up before the inevitable reversal.

Two things about a change in our existing positions when they are held for a longer period of time, which will affect their potential impact on the portfolio. Long positions going in our favour will by definition grow larger while short positions moving down will shrink in size. Furthermore, the volatility level that each market had at the time of position entry, on which the sizing was based, will change over time. This is not taken into account at all at the moment and neither is the fact that many of our positions may in some market conditions show practically identical daily moves.

Using the ATR method for judging volatility and as a proxy for risk is a decent estimator but a highly simplified concept compared to what most futures managers would do in reality. Most of us would use Value at Risk (VaR) or similar concepts instead and some stick to the good old margin-to-equity ratio.

You can use VaR for risk reporting, risk management and risk control and once you have large enough assets under management, it makes sense to implement such a system. VaR methodology takes into account how each position is related to each other, that is, their covariance against each other. This has the added benefit of being able to run pre-trade simulations such as calculating the incremental VaR on your portfolio, should you take on a new position. The possibilities this opens in terms of risk control on a portfolio level are quite vast and potentially very valuable if you are looking for risk reduction and return smoothing.

If you don't have the possibility of implementing a full VaR system, you should at least be aware of the relationship between the markets you trade and look for methods to use this information in your risk management. The first thing you should do is to build a correlation matrix of the instruments you are looking to trade, or a covariance matrix if you so prefer. Make the table dynamic so that you are able to analyse the relationship between the markets over many different time periods. What you are likely to find is that at times the overall covariance between most markets in diverse asset classes goes up dramatically. These periods are often very profitable but also highly risky.

When you build a correlation matrix, there are a few things to keep in mind. First and foremost, you want to use the log returns as your basis of